

# LECTURE: ##15

HOW TO MANAGE (BEN HOROWITZ)

Date

## ONE MANAGEMENT CONCEPT

\* When making a critical decision, you must understand how it will be interpreted from each person's point of view and its impact on the union of the individual views & culture.

### \* AGENDA

① Demotions.

② Rolpec.

③ we evaluate a Sam Altman Blog Post.

④ History's greatest practitioner.

⇒ Do you demote or fire?

you

\* Tough to fire someone who has put in a big effort.

\* No cultural backlash.

\* A demotion is a "have your cake and eat it too" scenario.

### Executive Perspective

\* May not want the demotion, but at least gives him an option.

\* Saves the embarrassment of getting fired.

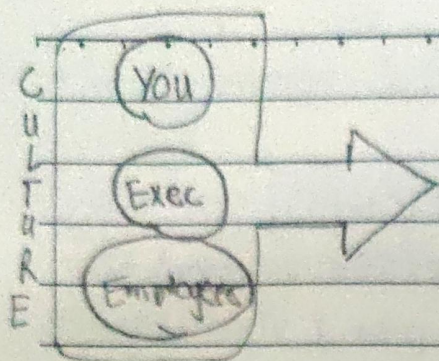
\* Enables him to keep growing with the company even though he's demoted.

### Everybody Else

\* Does he keep his same equity package?

\* Is he going to work as hard being the guy who reports to the guy?

\* Do I have any respect for him now that he's being demoted?



Q. what does it mean to fail on your job?

Q. what is required to maintain your integrity?

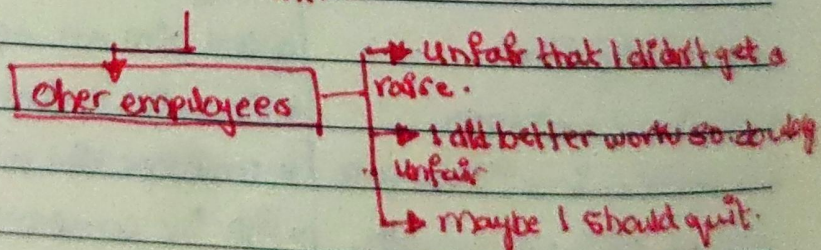
## BUSINESS EXAMPLE 2 (AN Excellent Employee asks for Raise)

### \* YOUR PERSPECTIVE

- \* You want to retain them.
- \* They have done great work, so it's fair.
- \* They will like you if you give them the raise and you want to be liked.

### Employee's Perspective

- \* There's a lot of momentum for them.



- \* You are not really evaluating the people's performance and the progress.

### CULTURAL CONCLUSION:

- \* Every employee has a fiduciary responsibility to their family to ask for a raise all the time.

### → Right Answer

- Formal performance evaluation process.
- All the right inputs
- Review frequently as needed
- No raises outside of the process.

\* Making a formal process allows people to be more comfortable and then you are going to be using a fair system

### Sam Altman's Blog Post

\* In the silicon valley and in the startup culture you have to buy your stocks within the 90 day period of termination or else it is gone and you are going to be having no access over to your stocks.

↳ Two and half million dollar ⇒ Ten million dollar.

APB opinion No. 25 Pn  
2004

- \* The more your stock went up, the more money you'd lose.
- \* It just was not doable.

### Your Perspective

- \* Want to be fair.
- \* Want to reward people who stay.
- \* Don't want employees to stay who don't want to be there, but feel handcuffed.

## PERSPECTIVE OF EMPLOYEE WHO LEAVES

Date

- \* I worked for my shares: I shouldn't be prevented from getting them due to economics.
- \* Did you tell me the truth when you hired me? If you didn't, I'll make sure that everyone knows that.
- \* If I was fired, I just got screwed a second time.

## Perspective of Employee who Stays

- \* Is it smarter for me to stay or leave economically?
- \* Are my colleagues being treated fairly
- \* Does my loyalty matter?

## Situation Analysis

- \* Companies lose employees in Silicon Valley at around 10% per year.
- \* SV companies dilute at 6-8% per year when they are private for employee comp.
- \* If an employee doesn't exercise her stock during the exercise period, it goes back into the pool where it can be reissued to new or existing employees.
- \* Losing all your stock is a big financial incentive to stay.
- \* A 10 year option on a highly volatile security is quite valuable.
- \* When the employee goes to the new company, she gets the new company stock plus 10 year option.
- \* The employee who stays gets the option only.
- \* It should be evaluated differently and there are two alternative cultural statements:

① We treat new employees with the utmost straight-forwardness and fairness and we will therefore give you 10 years to exercise your stock if you quit or are fired.

② We'll tell you upfront: You are guaranteed to get your salary for your stock to be meaningful, you must a) rest, b) stay until we exit or have the cash to exercise c) make the company worth something. We do this because we massively value those who see it through and will minimize the relative cost of those who leave.

PERSPECTIVES

→ YOUR SOLDIERS

→ YOUR ENEMY

→ THE CULTURE

\* You are trying to understand the different perspectives and what was going to be the resulting culture itself.

\* The slave culture was the most broken of them all.

\* Wanted the enemies to be a part of the team, so that they could eventually give you the experience they had.

\* The businesses didn't work with the variations.

Stronger Culture

"It's not your perspective or the perspective of the person that you are talking to at the moment. That matters. You must consider the people who are not in the room. They are the company, they are the culture."

\* Specialize yourself to see your company through the room of the employees.

⇒ Conversation on donations?

- Be honest and upfront with the other person.
- To mushy and feeds like the weird concept.
- You make some mistake and that is the good place itself.

\* Take the job, but don't take their dignity.

\* Thank them for their work and make sure that the people are going to be coping up and working with the principle.

Keep your focus on what you can do, not what happened to you.

→ What are your options?

→ What you get to work towards things that are different?

CHANGING THE THOUGHT SYSTEM  
OF THE PEOPLE ITSELF

\* As a leader show them a better way and then understand the key compelling audience and the retention of your employees itself.

\* Professional - CEO's bring in a network of the large leaders and the founders.